

Sectoral Projections

Power
Investments in infrastructure notwithstanding, the sector has not seen steroid-charged growth.

51%

jobs are likely to be cut, hitting production.

“We are closing down 50 branches. Around 200 employees are to be affected.”

ATUL PANDE, MD,
Cholamandalam
DBS Finance

Media & Entertainment
Fall in revenues, rising costs and slashing of ad budgets has hit both the print and electronic media.

65%

Expected drop in hiring but could come up for review 2009-end.

“Faced with lower growth, we have cut fleet size and slashed salaries.”

RAVI NEDUNGADI,
CFO, UB Group



Retail

The nascent boom of the \$150-billion sector seems to have been nipped in the bud. With malls reporting low footfalls and even lower consumption, most retail players are shedding staff and trimming their expansion plans.

78%

OF PLANNED HIRING IS ON HOLD. WORSE, CLOSURE OF UNVIALE OUTLETS WILL LEAD TO LAYOFFS.

“Some developers may shelve new properties; 10 per cent of stores will not open.”

SANJAY JOG, HR Head, Pantaloon Retail

“Nearly 25 percent of the workforce will be laid off in seven key industrial segments, comprising steel, cement, ITES and BPOs, financial and brokerage services, construction, real estate and aviation.” Intuitively, the study seems to have got at least the big picture right and that is perhaps why the Government arm-twisted the chamber to withdraw the report. Not just that, the Government then convened a meeting of top tycoons, including Anand Mahindra, Mukesh Ambani, Venugopal Dhoot, Sunil Mittal, Nandan Nilekani and Y.C. Deveshwar where Prime Minister Manmohan Singh along with Finance Minister P. Chidambaram and Industry Minister Kamal Nath urged India Inc to not lay off people, promising sops in return.

But that is easier said than done. On the face of it, barely a fifth of the GDP depends on

external demand. Indeed, the dip in GDP growth from 9.4 per cent to 6 per cent represents barely \$30 billion in absolute monetary terms. But economics is not just arithmetic. The IT and ITES sector, for instance, depends on the US and EU for two-thirds of its revenues. Sixty per cent of the billings come from the worst-affected banking and financial sector. With companies in these two economies tanking, IT and ITES sectors are hit badly. In fact, software body Nasscom has stated that the revenue target of \$60 billion by fiscal 2010 seems to be difficult to achieve as does the target of \$40 billion for fiscal 2008. Take gems and jewellery. Again like IT, demand is from the developed economies where consumers are scrambling to meet day-to-day needs. The gems and jewellery sector alone could have lost one lakh